was up against a foregone conclusion, which was not based on economic grounds but political reasons. He said that the Americans were apprehensive that the inclusion of two permanent members from the British Empire would be misunderstood by the American public. He observed, 'In an indirect way, the validity of our claim was recognized in that we were given a quota sufficiently large to ensure a seat for us in every election without any outside support. Thus, the conclusion might be regarded as meeting all our legitimate aspirations but not satisfying our national dignity.'[38]

According to the Articles of the Fund and the Bank, original membership of the Fund was confined to countries represented at the Conference whose governments accepted membership before December 31, 1945. The Agent General for India signed on behalf of India on December 27, 1945, making India an original member of both the Fund and the Bank. In consultation with the RBI, the government issued an ordinance, the International Monetary Fund and Bank Ordinance, 1945, empowering it with the necessary legal authority to fulfill the obligations imposed by the agreements. When in January 1946, the matter came up for ratification by the Legislative Assembly, B.K. Madan was nominated by the government as a member of the Legislature to assist in the deliberations.

A committee was formed to discuss the Bretton Woods Agreements in keeping with Manu Subedar's amended motion that a committee consisting of nine members be elected to go into the question and report to the House. The Committee recommended to the Assembly to authorize the government to appoint when necessary a Governor, an Alternate Governor, and Executive Directors and Alternates. Deshmukh was appointed Governor for India on the Boards of the Fund and the Bank and he was to report on the inaugural meetings of the two institutions to be held in Savannah from March 8, 1946. (Sir Manilal Nanavati and Sir Ramaswami Mudaliar were nominated as Alternate Governors in that order.) The Committee cautioned that no financial commitments were to be undertaken by the government before the matter was further considered by the Committee. Deshmukh observes that the report was discussed by the Legislature on March 1, 1946, and the views of the Indian members were largely coloured by the anxiety regarding the unencumbered release of India's sterling balances. Manu Subedar was of the view that so long as India's sterling balances were not